

Module 1

Accounting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1(a)

Pearl Limited		
Statement of profit or loss and other comprehensive income		
For the year ended 30 June 2019		
	HK\$	HK\$
Sales		4,756,000
Less: Cost of sales		
Opening inventory	190,000	
Purchases	1,860,000	
Carriage inwards	<u>130,000</u>	
	2,180,000	
Less: Closing inventory	<u>(160,000)</u>	<u>(2,020,000)</u>
Gross profit		2,736,000
Add: Other income		
Impairment loss on trade receivables (15,000 – 10,000)		<u>5,000</u>
		2,741,000
Less: Expenses		
Carriage outwards	142,000	
Salaries	562,000	
Rent and rates (348,200 – 36,000 / 3 x 2)	324,200	
Sundry expenses	100,600	
Bank loan interest (3,000,000 x 4%)	120,000	
Utilities (426,200 + 23,000)	449,200	
Depreciation on furniture and fittings (2,400,000 / 20)	120,000	
Depreciation on equipment (980,000 + 300,000 – 320,000) x 10%	<u>96,000</u>	<u>(1,914,000)</u>
Profit before tax		827,000
Less: Taxation		<u>(152,000)</u>
Profit for the year		<u>675,000</u>
Other comprehensive income:		
Revaluation surplus on freehold land (6,400,000 – 6,000,000)		<u>400,000</u>
Other comprehensive income for the year		<u>400,000</u>
Total comprehensive income for the year		<u>1,075,000</u>

Answer 1(b)

Pearl Limited
Statement of financial position as at 30 June 2019

	HK\$ Cost/ Valuation	HK\$ Accumulated depreciation	HK\$ Carrying amount
ASSETS			
Non-current assets			
Freehold land, at valuation	6,400,000	—	6,400,000
Furniture and fittings	2,400,000	*770,000	1,630,000
Equipment	<u>[^]1,280,000</u>	<u>**416,000</u>	<u>864,000</u>
	<u>10,080,000</u>	<u>1,186,000</u>	8,894,000
Current assets			
Inventory		160,000	
Trade receivables	248,000		
Less: Allowance for impairment loss on trade receivables	<u>(10,000)</u>	238,000	
Prepayment (36,000 / 3 x 2)		24,000	
Cash at bank		<u>210,300</u>	<u>632,300</u>
Total assets			<u><u>9,526,300</u></u>
EQUITY AND LIABILITIES			
Equity			
Ordinary share capital (3,000,000 + 300,000)			3,300,000
Revaluation reserve (1,000,000 + 400,000)			1,400,000
General reserves (500,000 + 200,000)			700,000
Retained earnings (299,300 – 200,000 + 675,000 – 200,000)			<u>574,300</u>
Total equity			<u><u>5,974,300</u></u>
Non-current liabilities			
4% Bank loan			3,000,000
Current liabilities			
Trade payables		347,000	
Tax payable		152,000	
Interest payable (120,000 – 90,000)		30,000	
Other payables		<u>23,000</u>	<u>552,000</u>
Total liabilities			<u><u>3,552,000</u></u>
Total equity and liabilities			<u><u>9,526,300</u></u>
* \$650,000 + \$120,000			
[^] \$980,000 + \$300,000			
** \$320,000 + \$96,000			

Answer 2

- (i) Accrual basis of accounting has been violated.

Under accrual basis accounting, revenues and expenses are recognised in the statement of profit or loss and other comprehensive income when they arise, but not when cash is received or paid.

Ocean Limited should not record half of the sales proceeds received on 28 June 2019 as revenue for the year ended 30 June 2019. Goods will be delivered to the client on 6 July 2019, which is the date when the company satisfied its performance obligation. Therefore, total revenue of HK\$4,000,000 should be recognised as revenue for the year ended 30 June 2020.

- (ii) Comparability has been violated.

Under comparability, accounting information from one period should be comparable to the information from another period. The Accountant should use similar accounting methods and principles guided by accounting standards from one year to the next.

A change in depreciation method is allowed only if it can provide more relevant information to the users of financial statements. Ocean Limited should not change the depreciation method of motor vehicles simply for the purpose of boosting operation results. Therefore, the company should keep on depreciating motor vehicles using the reducing balance method for the year ended 30 June 2019.

Answer 3(a)

Trade payables			
	HK\$		HK\$
Returns outwards	50,000	Balance b/f	124,000
Discounts received	22,000	Credit purchases	210,000
Bank	160,000		
Trade receivables (Jade Limited)	8,000		
Balance c/f	94,000		
	<u>334,000</u>		<u>334,000</u>

Answer 3(b)

Trade receivables			
	HK\$		HK\$
Balance b/f	181,300	Returns inwards	30,000
Credit sales	360,000	Discounts allowed	18,000
		Bank	220,000
		Bad debts	3,000
		Trade payables	8,000
		(Jade Limited)	
		Balance c/f	262,300
	<u>541,300</u>		<u>541,300</u>

Answer 3(c)

	HK\$	HK\$
Inventories as at 30 September 2019		321,600
Goods received from suppliers [210,000 (from part (a) / 80%)]		262,500
Goods returned from customers:		
Invoiced amount	30,000	
Less: Profit margin (30,000 x 20 / 120)	<u>(5,000)</u>	25,000
Less:		
Goods delivered to customers:		
Invoiced amount (360,000 / 60%)	600,000	
Less: Profit margin (600,000 x 20 / 120)	<u>(100,000)</u>	(500,000)
Goods returned to suppliers		<u>(50,000)</u>
Inventories as at 5 October 2019 (before the fire)		59,100
Less: Value of inventories after the fire		<u>(2,500)</u>
Inventory loss before compensation from insurer		56,600
Less: Compensation from insurer (56,600 x 50%)		<u>(28,300)</u>
Net Inventory loss after compensation from insurer		<u>28,300</u>

Answer 4(a)

Cash book			
May 2019	HK\$	May 2019	HK\$
Error: Electricity overstated ⁵ (4,820 – 4,280)	540	Balance b/f	250
Error: Deposit entered in the wrong side ⁶	4,000	Trade receivables – dishonoured cheque ²	33,000
Error: Debit side undercast ⁸	46,300	Bank service charge ⁴	240
		Adjusted balance c/f	17,350
	<u>50,840</u>		<u>50,840</u>

Answer 4(b)

Kim Limited	
Bank reconciliation statement as at 31 May 2019	
	HK\$
Balance as per bank statement	14,850
Add: Deposit in transit ¹	15,000
Bank error: cheque wrongly entered into Kim's bank account ⁷	<u>5,000</u>
	34,850
Less: Unpresented cheques ³	
#126877	(5,200)
#126878	<u>(12,300)</u>
Balance as per adjusted cash book balance	<u>17,350</u>

Answer 4(c)

Examples on internal controls over cash receipts in the retail stores of Kim Limited:

- Each cashier should register his/her float at the beginning of each duty shift, and no other employees should have access to this float.
- At the end of a duty shift, the cashier should count the cash in the register, record the amount, and turn the cash and the recorded amount over to a supervisor. No cash is used from the register to pay for anything needed by the business except for change for customer cash receipts.
- The supervisor must verify that there are receipts on hand for credit card sales, and that these match the amounts recorded for each type of receipt in the point-of-sale (POS) system.
- The supervisor should transfer the cash to the person making the bank deposit, with acknowledgement of the cash involved. The individual who handles the deposit (physical custody) should not be able to make changes to the sales recorded in the POS system or the accounting records (recordkeeping).
- Deposits should be made daily to reduce the amount of accessible cash on hand. Sales using credit cards are considered cash transactions.

* * * END OF EXAMINATION PAPER * * *